

SECTION A

QUESTION 1

A)

- i) Banks – examine the business ability of paying the loan and interest on the loan
- ii) Creditors - predict business ability to pay off debts
- iii) Government (IRB) - determines tax payable
- iv) Management - look at company performance and make plans

B)

- i) Revenue Recognition. Disagreeing with not being a result, should be recorded as unearned revenue.
- ii) Economic Entities. Disagree because personal expenses must be recorded as a withdrawal.

C)

Date	Cash	Accounts Receivable	Equipment	=	Accounts Payable	Capital
Sept 1	-3,400		+3,400			
5	-2,200				-2,200	
14	+2,800					+2,800
14		+2,250				+2,250
30	-3,200					-3,200

SECTION B

QUESTION 1

A) i)

Accounts Receivable

2008					
Oct 1	Balance b/f	62,700		Cash (333,160 - 2,400)	330,760
	Sales	328,230		Allowance For Doubtful Debts	1,820
				Sales Returns & Allowance	550
			2009		
			Sept 30	Balance c/f	57,800
		<u>390,930</u>			<u>390,930</u>
2009					
Oct 1	Balance b/f	57,800			

Allowance For Doubtful Debts

	Accounts Receivable	1,820	2008		
			Oct 1	Balance b/f	1,254
2009			2009		
Sept 30	Balance c/f (57,800 x 3%)	1,734	Sept 30	Bad Debt expense	2,300
		<u>3,554</u>			<u>3,554</u>
			Okt 1	Balance b/f	1,734

ii)

	Allowance For Doubtful Debts Accounts Receivable (To record write-off an uncollectable amount)	1,820	1,820
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B) i)

Ceria Tehtiam
Bank Reconciliation Statement
As At 30 September 2009

	RM	RM
Cash Balance Per bank statements		420
(+) Deposits In Transit	1,320	
Bank errors:		
Payment is overdue	600	
Payment is overdue	<u>100</u>	<u>2,020</u>
		2,440
(-) Outstanding Cheque		<u>(920)</u>
Adjusted Cash Balance Per Bank		<u>1,520</u>
Cash Balance Per Cash Book		900
(+) Credit Transfer - Accounts Receivable		<u>1,400</u>
		2,300
(-) Bank Charges	(100)	
Standing Instructions - Rent	<u>(680)</u>	<u>(780)</u>
Adjusted Cash Balance Per Cash Book		<u>1,520</u>

ii)

2009 Sept 30	Dr Bank Cr Accounts Receivable	1,400	1,400
	Dr Bank Charges Cr Bank	100	100
	Dr Bank Charges Cr Bank	680	680

QUESTIONS 2

i)

2008 Jan 1	Dr Cash/Bank Accumulated Depreciation Cr Hemodialysis Machine Gain on Disposal	60,000 600,000	600,000 60,000
Jan 12	Dr Laboratory Equipment ($600,000 + 11,000 + 22,000 + 7,000$) Cr Accounts Payable Dr Prepaid Insurance Cr Cash/Bank	640,000 14,000	640,000 14,000
Sept 30	Dr Image Scanners (New)* Accumulated Depreciation - Image Scanners ($108,000 \times 2$) Loss on Disposal ** Cr Cash/Bank Image Scanners (Old)	450,000 216,000 144,000	180,000 630,000

* New image scanners cost = Cash + Trade-In Value = $180,000 + 270,000 = 450,000$

Fair Value (Trade In Value) = 270,000

(-) Book Value = Cost – Accumulated Depreciation = $630,000 - 216,000 = (414,000)$

** Loss on Disposal (144,000)

ii)

Dec 31	Dr Depreciation Expense - Image Scanners Cr Accumulated Depreciation - Image Scanners ($\frac{RM450,000 - RM90,000}{5 \text{ tahun}}$)	72,000	72,000
	Dr Depreciation Expense – Laser Surgery Devices Cr Accumulated Depreciation – Laser Surgery Devices	81,920*	81,920
	Dr Depreciation Expense – Laboratory Equipment Cr Accumulated Depreciation – Laboratory Equipment ($RM640,000 \times 25\%$)	160,000	160,000

Year	Depreciation Expense (RM)	Accumulated Depreciation (RM)	Book Value
2006	$640,000 \times 20\% = 128,000$	128,000	512,000
2007	$512,000 \times 20\% = 102,400$	230,400	409,600
2008	*409,600 x 20% = 81,920		

QUESTION 3

i)

Salaries Payable			
Bank	18,200	Balance b/f	2,550
Balance c/f	1,850	Salaries (CIS)	17,500
	<u>20,050</u>		<u>20,050</u>

Prepaid Insurance			
Balance b/f	1,100	Insurance (CIS)	2,800
Bank	2,400	Balance c/f	700
	<u>3,500</u>		<u>3,500</u>

Accounts Receivable			
Balance b/f	39,780	Sales Returns and Allowances	980
Sales	172,870	Bad Debts Expenses	180
		Bank	167,300
		Balance c/f	44,190
	<u>212,650</u>		<u>212,650</u>

Accounts Payable			
Purchase Returns and Allowances	3,200	Balance b/f	54,600
Bank	132,340	Purchases	144,290
Balance c/f	63,350		
	<u>198,890</u>		<u>198,890</u>

ii)

Perniagaan Puan Aina
Comprehensive Income Statement
For the Year Ended September 30, 2009

Sales (9,070 + 172,870)			181,940
- Sales Returns and Allowances			(980)
			180,960
- Cost of Goods Sold:			
Beginning Inventory		62,120	
+ Purchases (10,200 + 144,290)	154,490		
- Purchase Returns and Allowances	(3,200)	151,290	
		213,410	
- Ending Inventory		(58,500)	
Cost of Goods Sold			154,910
Gross Profit			26,050
- Expenses			
Electric and Water Expense		2,850	
Telephone Expense		1,350	
Rent Expense		4,800	
Insurance Expense		2,800	
Vehicles Expense		7,200	
Salaries Expense		17,500	
Bad Debts Expense		180	
Depreciation Expenses - Vehicles		15,226	
Depreciation Expense - Equipment		2,470	(54,376)
Net Loss			(28,326)

iii)

Perniagaan Puan Aina
Owner's Equity Statement
As At 30 September 2009

Beginning Capital *	139,068
- Net Loss	(28,326)
- Drawings	(1,800)
Ending Capital	108,942

*Beginning Capital Calculation:

ASSETS:			
Bank		27,780	
Accounts Receivable		39,780	
Inventory		62,120	
Prepaid Insurance		1,100	
Vehicle	76,130		
- Accumulated Depreciation (76,130 x 20% x 2)	(30,452)	45,768	
Equipment	24,700		
- Accumulated Depreciation (24,700 x 10% x 2)	(4,940)	19,760	196,218
(-) LIABILITIES:			
Accounts Payable		54,600	
Salaries Payable		2,550	(57,150)
			139,068